

Documents of Companies

A. Memorandum of Association:

1. Definition & Clauses
2. Provisions and Procedures for Alteration

B. Articles of Association:

1. Definition, Registration
2. Contents- Table A
3. Provisions and Procedures for Alteration
4. Distinction between Memorandum & Articles

C. Prospectus:

1. Statement in Lieu of Prospectus

Introduction And Clauses

There are three main documents of every public or private limited company. Those are 1) Memorandum of Association 2) Articles of Association & 3) Prospectus.

1. Memorandum of Association:

This is the most important document of company. This document sets out the constitution of company. It defines company's relation with the outside world. Its main purpose is to enable the shareholder, creditors or those who want to deal with the company to know the company's permitted range of enterprises.

Clauses of Memorandum

This document must be signed by every one of the subscribers in the presence of witness. The memorandum of company limited by shares must have following clauses.

1. Name clause
2. Situation clause
3. Object clause
4. Liability clause
5. Capital clause
6. Association & Subscription clause

Clauses of Memorandum

- 1. Name Clause:** This clause contains the name of the company. The name selected should not be similar to or identical with that of any existing company. The name of the company should end with the word “Limited”. If it is private limited company, it should be end with the words “Private Limited”. However, if the company is formed not with the object of declaring dividends but to promote science, culture etc. Central Government may permit the company to drop the word “Limited”.

Clauses of Memorandum

2. **Situation Clause:** In this clause, the state in which company's registered office is located should be given.
3. **Object Clause:** Of all the clauses in memorandum, this clause is most important. It should specify in unambiguous language the object for which the company is formed. At most care has to be taken while drafting this clause, as company, in future will not allowed to do any business which is not specifically mentioned here.

Clauses of Memorandum

According to amendment to the Companies Act, made in 1956, the object clause of company formed after the Amendment, must contain;

1. a) Main object of company and objects incidental or ancillary.
b) Other objects of company not included above.
2. In a case the objects are not remain confined to one state, states whose territories the objects extend.

Clauses of Memorandum

4. **Liability Clause:** This clause states that the liability of member is limited to the face value of the share taken up by them.
5. **Capital Clause:** In this clause, particulars regarding the amount of shares capital with which company is planning to be registered and the division of that capital in to shares of a fixed amount are included.
6. **Association & Subscription clause:** This contains a declaration by the subscribers to the memorandum. This declaration just precedes the names of the signatories to the memorandum.

Sample Memorandum of Association

1. The name of the Company is “The Eastern Steam Packet Company Limited”.
Name Clause
2. The Registered Office of the Company will be situated in the State of Maharashtra.
Situation Clause
3. (a) The main objects for which the company is established are “the conveyance of passengers and goods in ships or boats between such places as the company may from time to time determine”.
Object Clause
(b) The objects incidental or ancillary to the attainment of the above main objects are “the acquisition, building, setting up and provision of establishments for repairing ships or boats, for the training of personnel required for the running ships or boats and the doing of all other things as are conductive to the attainment of the foregoing main objects.”
(c) The other objects of the company is established are “carrying on the business of carriers by land and air and the running of hotels for tourists”.

Sample Memorandum of Association

4. The liability of members is limited.

Liability Clause

5. The share capital of the company is five hundred thousand rupees dividend into five thousand shares of one hundred rupees each.

Capital Clause

6. We the several persons whose names are subscribed, are desirous of being formed into a company in pursuance of this memorandum of association, and we respectively agree to take the number of shares in the capital of the company set opposite our respective names.

Association & Subscription clause

Sample Memorandum of Association

Names, addresses, description and Occupations of subscribers			Number of shares taken by each subscriber	
1.A.B. of		Merchant		 150
2.C.D. of		Industrialist		 100
3.E.F. of		Industrialist		 80
4.G.H. of		Industrialist		 50
5.I.J. of		Industrialist		 40
6.K.L. of		Industrialist		 30
7.M.N. of		Ex-Civil Service		 20
		Total Shares Taken		 470

Dated the day of.....2004.

Witness to the above signatures

X.Y. of

Alteration of Memorandum

A memorandum can be altered only with regard to the following matters. The matters & brief procedure of the same as prescribed by the Companies Act, 1956 is as below;

Alteration of Name: It can be altered by passing special resolution with approval of Central Government. The duties of secretary regarding whether in name clause are as below:

- The secretary has to ascertain from Registrar of Companies whether the name is undesirable.
- Arrange a board meeting for the purpose of recommending change name.

Alteration of Memorandum

Alteration of Domicile: The procedure of changing the company's registered office is divided into following three parts;

- i. Within city limit.
- ii. Within the same state
- iii. Inter-state change of Registered Office

The duties of secretary in respect of removal of Registered Office from one state to other is as below:

Alteration of Memorandum

- a) Passing an special resolution at an extraordinary general meeting.
- b) Filing copy of same to Registrar within 30 days.
- c) Sec. 17 of Companies (Second Amendment) 2002, stipulates the requirement regarding inter-state change of Registered Office.
- d) Getting Certificate of registration of the transfer from the Registrar of both the states.
- e) Giving notice of location of the new office to the Registrar of the state to which company is shifted within 30 days.

Alteration of Memorandum

Alteration of Object Clause: The alteration can be effected by passing special resolution with the sanction of Central Government. The Central Government ensure that the alteration is necessary in order;

- a. To carry on business more economically and efficiently.
- b. To attain its main purpose by new improved means.
- c. To restrict or abandon any of the objects specified in Memorandum.

Alteration of Memorandum

The Secretarial work to change the object clause is as below;

- i. To arrange board meeting to discuss the proposed change and also approve explanatory statement.
- ii. To send notice of extraordinary general meeting to all whose interest may be affected by the change.
- iii. To get the special resolution passed to make petition to Central Government for its sanction & change.
- iv. On receipt of the confirmation order from Central Government a copy of sanction along with altered memorandum should be filed to Registrar within three months from the date of board order.

Alteration of Memorandum

Alteration of Capital: The procedure & power to make such alteration is generally provided in Articles of the company. If such power or procedure is not in Articles, the company first alter its Articles suitably by passing special resolution. If so authorised by Articles, a company may in general meeting alter its capital for following purposes;

- a. Increasing in Capital.
- b. Re organising Capital.
- c. Reduction in Capital.

Alteration of Memorandum

For the first type, ordinary resolution proves to be sufficient, but for rest two not only special resolution but also approval of court is necessary.

As per section 94 of the Companies Act, a company, if so authorised by Articles, may alter the share capital in any of the following ways.

1. Increase its share capital by issuing new shares.
2. Consolidate its share capital & divide into shares of larger amount.
3. Convert its shares into stock and vice versa.
4. Sub-divide its shares into shares of a small amount.
5. Cancelled the shares which have not been taken.

Statutory Provisions (Sec. 81)

Following are some of the provisions with regard to increase of subscribed capital by issue of un-issued shares (Sec.81).

1. The offer shall made to present shareholders on pro-rata basis.
2. The offer must be made by notice & should be open for 15 days.
3. After expiry of the time limit, the director can dispose balance of the share in the manner most beneficial to the company.
4. Such further share may be offer in local market.
5. Cancelled the shares which have not been taken.
 - i. If special resolution passed in general meeting or
 - ii. Ordinary resolution passed in general meeting and the approval of Central Government is obtained to such a proposal.

Reduction of Share Capital

It refers to reduction of issued, subscribed, paid up capital of a company by special resolution under Sec. 100 of the Act. Section 100 of the Act provides that company can reduce its share capital only,

1. When it is authorised by its articles to do so.
2. By obtaining the sanction of the court for such reduction.
3. By a special resolution passed in general meeting.

Reduction of Share Capital

Reduction of capital by means is not to be deemed as capital reduction within the meaning of Sec. 100.

1. Valid forfeitures of shares.
2. Valid surrenders of shares.
3. Cancellation of un-issued shares.
4. Redemption of redeemable preference share.
5. Payment of interest out of capital

Needs of Reducing Share Capital

Under following circumstances, company may feel to reduce its share capital.

1. When capital is more than its requirement.
2. When it is wants to write down its assets at their real value.
3. When it is unable to declare a satisfactory rate of dividend on the paid up share capital.

Under section 100 of the Act, a company, if so authorised by its articles, may be a special resolution confirmed by court, reduces its share capital in any one of the following ways.

Methods of Reducing Share Capital

1. By extinguishing the liability of members for uncalled capital.
2. By canceling any part of the paid up capital which is lost or un-presented by available assets.
3. By paying off capital which is in excess of wants of the company.
4. In any other way approved by court.

Duties of Secretary in Connection with Reduction of Share Capital

1. To arrange a board of directors meeting.
2. To send to members, notice of extraordinary general meeting along with explanatory statement.
3. To get a special resolution passed at extraordinary general meeting and get the minutes signed by chairman of meeting.
4. File copy of minutes with Registrar.
5. To make an application to the court along with the copy of minutes.
6. To make necessary steps for the settlement of the list of objecting creditors.
7. steps to be taken by the secretary for reducing share capital of

Duties of Secretary in Connection with Reduction of Share Capital

7. To receive the court order of confirmation for reduction of capital.
8. To notify the causes of reduction to public if directed by court.
9. To obtain the Certificate of Registration of the court order.
10. To file copy of the court order and minutes to Registrar.
11. To file altered M.A. & A.A. with Registrar.
12. To take necessary steps to execute the scheme of reduction of the capital.
13. To insert the words “and reduce” in the company’s name for a certain period if so directed by the court.

Articles of Association

For efficient management of affairs of concern, every business unit needs some foolproof rules & regulations. Such rules & regulations are normally known as Articles of Association. They lay down powers, duties of directors, officers & shareholders.

It must be printed into paragraphs and signed by each subscribers.

For a company limited by shares preparation of Articles of Association is not compulsory. They can simply adopt Table 'A' provisions for the same. Private limited company cant adopt Table 'A' so it should have their own articles.

Importance of Articles

The articles provide the rules for the conduct of day-to-day administration of the company. As memorandum lays down the objects and purpose for which the company is established, articles disclosed the regulations to achieve those objects. Articles regulate the relationship between company and its members and employees.

Both Memorandum of Association & Articles of Association registered binds the company and its members to go for common goal with the help of provisions therein. These two documents are public documents in nature, they are expected to be inspected by any person intending to deal or wants to established relation with company.

Table 'A' of Schedule - I

1. Interpretation	12. Proceedings at General Meetings
2. Share capital and variation of rights	13. Votes of Members
3. Lien on shares	14. Board of directors
4. Classes of shares	15. Proceedings of the Board Meetings
5. Transfer of shares	16. Manager or Secretary
6. Transmission of shares	17. Common Seal of the Company
7. Forfeiture of shares	18. Divided and Reserves
8. Conversion of shares into stock	19. Accounts
9. Share Warrants	20. Capitalisation of Profits
10. Alteration of Capital	21. Winding up
11. General Meeting	22. Indemnity

Alteration of Articles

Alteration to articles can at any time, be altered by a special resolution, but the same should be within the scope of its Memorandum. There is no need to get the sanction of the court may disallow any alteration if it is unfair between the members and contains something that is illegal.

Alteration of Articles

Following are some limitations to alter the Articles:

1. It should not violate any provision of Companies Act & general law.
2. It must be within the scope of its Memorandum of Association.
3. It should not break any existing contract.
4. It must be in best interest of the company as a whole.

Secretarial Procedure to Alter Articles

The secretary has to take care following steps in order to alter the Articles:

1. To arrange board meetings & to fix up date of extra-ordinary general meeting.
2. To see alteration do not violate any provision of Companies Act.
3. To issue notice of general meeting along with the proposed special resolution and an explanatory statement at least 21 days before the meeting.
4. To get the special resolution passed at an extraordinary meeting.
5. To file copy of resolution along with explanatory note Registrar within 30 days of passing the resolution.
6. To file revised Articles of Association to Registrar within three months from the passing the resolution.

distinction Between A.A & M.A.

Memorandum of Association	Points	Articles of Association
Is the charter of the company.	Nature	Is the bye-laws of the company.
It states the object for which company is established.	Scope	It states the rule of carrying out the business.
It is mandatory, as without this, company can not be incorporated.	Preparation	It is not mandatory, as company can adopt Table 'A' of Companies Act.
It governs the external relations of the company.	Governance	It defines the relationship between the members & management.
This is a primary document as it is a foundation of company.	Type	It is secondary document & it should be read in the light of M.A.
This can be alter by special resolution along with approval of the Central Govt.	Alteration	This can be alter by only special resolution. Approval of Court or Central Govt is not necessary.

Other Requirements for Incorporation

There are two documents have to be submitted along with M.A. & A.A Those are;

1. Consent of Proposed Directors: This is nothing but a written consent by proposed directors to act as such & their undertaking to take up and pay for qualification shares. This should be file with registrar to get the incorporation certificate.
2. Statutory Declaration: this declaration should be filed with the Registrar by the secretary, advocate, attorney or chartered accountant or by person named in articles as a director to the effect that all the requirements of the Act as to registration have been complied with.

Specimen of Declaration of Compliance

Pursuant to Sec. 33 (2).....

Name of company.....

Presented by

I,.....do solemnly and sincerely declare that I am one who is engaged in the formation of the Company, or a person named in the Articles as a Director/Managing Director or Secretary or Manager of the said company or an advocate of the Supreme court or an Attorney or a pleader entitled to appear before the High Court or a Chartered Accountant¹ practicing in India.

And that all the requirements of the Companies Act, 1956, and the rules there under in respect of matters precedent to the registration of the said company and incidental thereto have been complied with. And I make this solemn declaration conscientiously, believing the same to be true.

Signature

Date:

Place:

Designation

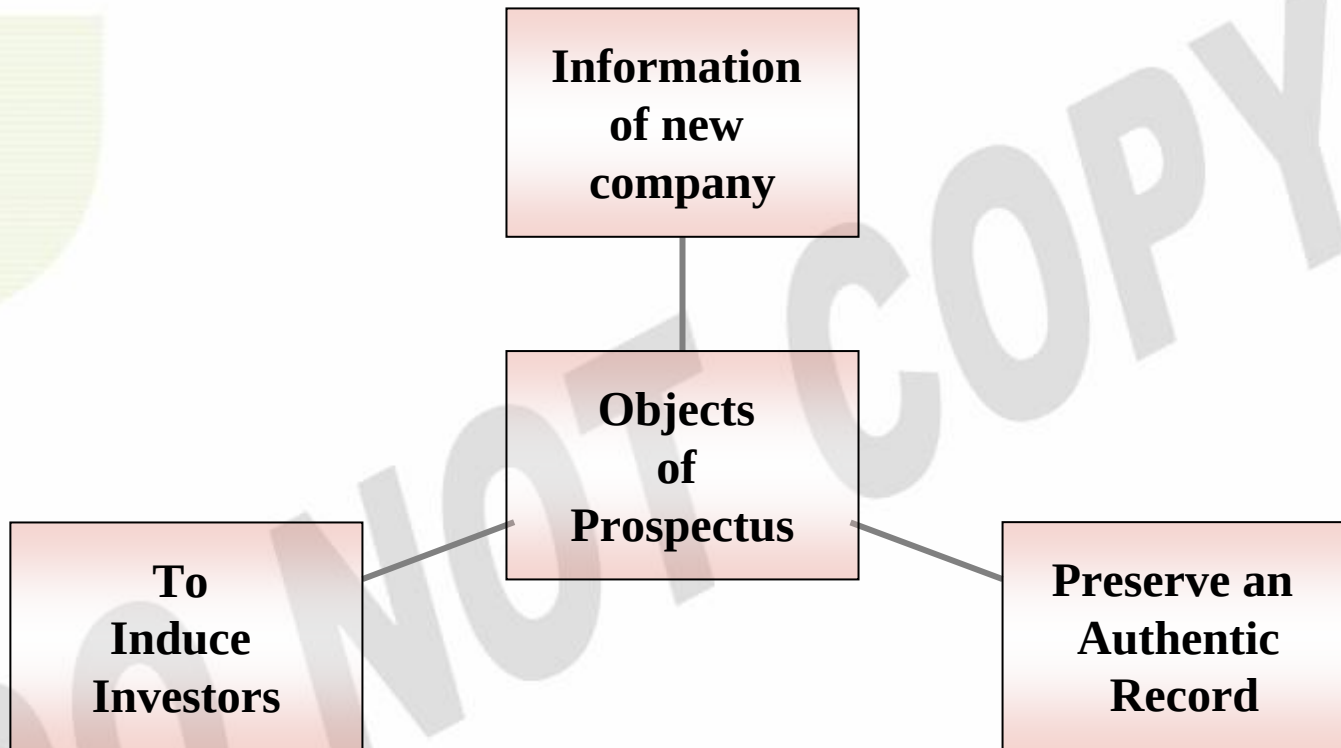
Witness:

1. In the companies (Amendment) Act, 1988, it is made clear that the chartered accountant must be in whole time practice in India. The secretary in whole time practice in India, is also made eligible of signing this declaration.

Prospectus

This is a third document of company. After receipt of Certificate of Incorporation, if promoter wishes to invite public to subscribe for its shares or debentures, they must prepare this document. So the prospectus can be define as, “any prospectus, notice, circular, advertisement or other document inviting public for the purchase or subscription of any shares in or debentures of a body of corporate”. The main objects of the Prospectus can be stated by following chart.

Prospectus



The main objects of the Prospectus can be stated by above chart.

Prospectus

If promoters secure capital without public subscription, they need not issue prospectus, they can prepare a statement containing similar information to filing with the Registrar. The same is called, “Statement in Lieu of Prospectus”.

Legal Rules Relating to Issue of Prospectus

1. The prospectus must be dated.
2. The statement of an expert may be included in it. If the same is not engaged in or interested in formation, promotion or management of the company.
3. The copy of prospectus which is signed by directors of the company must be file with the Registrar of Companies for Registration before its issue to public.

Legal Rules Relating to Issue of Prospectus

4. The prospectus must be issued to public within 90 days after the date of filing the copy to Registrar.
5. After the registration of prospectus, the terms of any contract mentioned in the same cant be varied except approval of members in general meeting.
6. When company issues an application form for purchase of shares, debentures it must be accompanied by an abridged form of Prospectus..

Contents of Prospectus (New format)

As per SO.666(E) dated 3.10.1991 issued by the Department of Company Affairs, and section 56 of the Companies Act, 1956 the new format of prospectus contains following information.

1. State the matter specified in Part I Of Schedule II
2. Set out the reports specified in Part II of schedule II
3. These provisions as stated above shall have the effect subject to the provisions contained in Part III of schedule II.

The revised format of prospectus is effective from 1st Nov.1991. This step has been taken by Government to provide greater information regarding the Company.

Part I of Schedule II

The main contents of above are as below;

1. General Information
2. Capital Structure of company
3. Terms of present issue
4. Particulars of the issue
5. Company Management and Project
6. Information regarding section 370 (1B)
7. Outstanding Litigation

Part II of Schedule II

This contains different reports & other information.
The main points of the schedule are as below;

1. General Information
2. Financial Information
3. Statutory and other Information
4. This includes following main points:
 - a. Minimum Subscription
 - b. Underwriting commission and brokerage
 - c. Previous public or right issues
 - d. Options to subscribe
 - e. Rights of members regarding voting, dividend etc.
 - f. Revaluation of assets (if any) during last 5 years.

Part III of Schedule II

In this part, different provisions applying to Part I and Part II of the schedule. Some of them are mentioned below in brief.

1. Every person shall for the purpose of this schedule, be deemed to be a vendor who has entered in to contract.
2. Where any property to be acquired by the company is to be taken on lease.
3. If in the case of company which has been carrying on business less than five years, relevant years information may be substituted for reference to five financial years.

Part III of Schedule II

Apart from above, the following provision must be prominently printed in every prospectus and in every application form. “Any person, who makes in a fictitious name an application to a company for acquiring any shares therein or otherwise includes a company to allot or register any transfer any transfer of shares therein to him or any other person in a fictitious name, shall be punishable with imprisonment upto five years”.

Liabilities for Mis-Statement in the Prospectus

From all earlier discussion on prospectus, it has been easily observed that the prospectus is an important document. The greatest care should to be taken while preparing it. Everything must be stated in the prospectus with strict and scrupulous accuracy. Any mis-statement, mis-representation in the same renders the persons and/or directors for its publication liable for heavy penalties and they may include both civil and criminal liability. Let's look each one in brief.

Liabilities for Mis-Statement in the Prospectus

1. Civil liability: If any person has purchase shares or debentures from a company on the basis of prospectus which is misleading can rescind the contract. The injured person can also claim damages from promoters, directors and any other person who authorised the issue of the prospectus.
2. Criminal Liability: The act also provides for criminal liability for giving an untrue statement in a prospectus. Thus, every person who authorised the issue is punishable with imprisonment extending to two years or with fine up to Rs.5,000/- or with both.

Listing of Shares

A stock exchange does not deal in the securities of all the companies. Only those securities that are listed can be bought and sold at the stock exchange. For the purpose of listing of securities, company has to apply to the stock exchange. If permission is granted by stock exchange to deal in securities therein then such company is included in the official trade list of the stock exchange and this is known as the, “Listing of Securities”.

Following are some of the advantages of listing.

1. It provides continuous market for securities.
2. It enhance the prestige of the company.
3. It provides an indirect check against manipulation by the management.

Listing of Public Issues with Recognised Stock Exchange

According to Company (Amendment) Act, 1988, the listing of public issue with recognised stock exchange has been made compulsory. Following are some of the provision relating to same;

- a. Every company must seek permission of any recognised stock exchange before offering shares or debentures to public.
- b. The prospectus must also contain the names of the stock exchange to which the application for permission made.

Underwriting Arrangement

The act of ensuring the sale of shares or debentures of a company, even before offering to the public, is called underwriting. In other words, underwriters takes upon themselves the responsibility of selling the securities to the public. If some of them remain unsold, the underwriters will have to purchase them. For this service they charged commission which should not exceed 5% of the issue price of the shares and 2 ½ % of the issued price of the debentures.

Conditions for Paying Underwriting Commission

1. The payment of commission must be authorised.
2. The amount of commission should not exceed 5% of the issue price or the amount authorised by Articles whichever is less.
3. For debenture it should not exceeds $2\frac{1}{2}\%$ of issued price or the amount stated in Articles whichever is less.
4. The rate of commission & number of shares or debentures which underwriters have agreed to subscribe should be stated in prospectus.
5. At the time of filing prospectus with Registrar, the underwriters agreement should be filed.

Advantages of Underwriting

1. Underwriters gives guarantee to promoters against the sale of the shares and uncertainty and risk.
2. As the promoters gets from the underwriters a large sum of cash at once, company is enabled to proceed with its projects.
3. The company escape from the danger of under capitalisation.
4. Underwriters possess specialised skill and experience and many times they provide expert advice to the companies.
5. The underwriters may be an individual or body corporate. In India now the function of underwriting is done by private firms, Commercial Banks, Unit Trust of India, Life Insurance Corporation and Special financial institutions like I.F.C. or I.D.B.I.

Guidelines by SEBI

1. Underwriting is mandatory for the full issue and minimum requirement of 90% subscription of public is also mandatory.
2. If company does not receive 90% of issue amount from public subscription plus accepted development from underwriters, within 120 days from the date of opening of issue, the company shall refund the amount of subscription.
3. The lead manager(s) must satisfy h\themselves about the net worth of the underwriters and the outstanding commitments and disclosed the same to SEBI.
4. The underwriting agreement may be filed with stock exchange.